BANKS · FRANCE · EURONEXT PARIS: BNP

BNP Paribas

A 13% return on tangible equity priced at 0.9x tangible book: the French discount has gone too far

● OVERWEIGHT | Conviction idea | Conviction: Medium | 12 months

THE CALL	CLOSE, 29 OCT 2026
Rating	● OVERWEIGHT
Price	€87.65
Base-case value Justified price to tangible book (Gordon growth)	€103.89
Upside to base case	+19%
Market cap	€96.0bn
52-week range	€78.83 – €113.82

01 Overview

BNP Paribas entered the portfolio at the December 2025 rebalance. Banks are scored only on book-to-price and earnings-to-price in our process, because enterprise value and free cash flow do not make sense for a bank. BNP ranked 5th of 203 financials. This note explains how a universal bank earns money, why its share price moves with French bonds, and how to value it from its tangible book.

> BNP earned a 13.2% return on tangible equity over the first nine months of 2026, ahead of its own 12% target, yet trades below tangible book because the market treats it as a proxy for French sovereign risk. With CET1 at 12.9% and a €1.3bn buyback starting, we see value in the gap.

MARKET CAP	ROTE, 9M 2026	P/E 2026E (CONSENSUS)	DIVIDEND YIELD 2026E
€96bn	13.2%	7.1x	6.8%

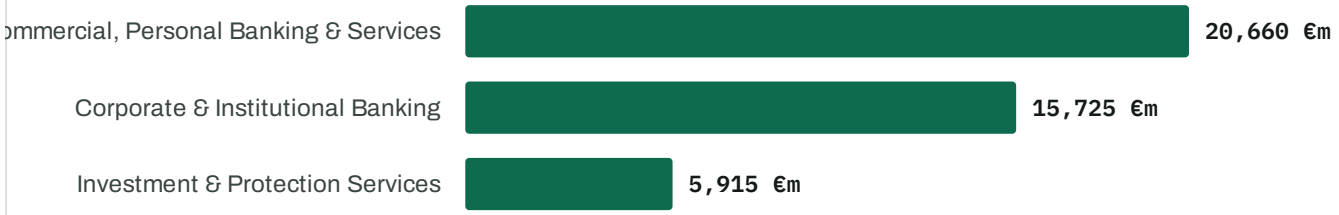
02 The business

BNP Paribas is the largest bank in the euro area. It has three divisions. Commercial, Personal Banking & Services (CPBS) collects deposits and lends to households and companies in four home markets (France, Belgium, Italy and Luxembourg) and runs specialised businesses such as consumer credit and Arval, a car-leasing company.

Corporate & Institutional Banking (CIB) advises and finances large companies, trades bonds, currencies and equities for clients (Global Markets), and holds assets for institutions (Securities Services). It is about 38% of revenue and the most volatile part of earnings.

Investment & Protection Services (IPS) sells insurance, manages wealth and runs asset management, now including AXA IM. These are fee businesses that need little capital, which is why management keeps adding to them.

Division revenues (NBI), 9M 2026



Commercial, Personal Banking & Services

Retail networks in France, Belgium, Italy and Luxembourg, Europe-Mediterranean, plus Personal Finance, Arval (car leasing, Athlon acquired July 2026) and Nickel.

Corporate & Institutional Banking

Global Banking, Global Markets and Securities Services; the bank describes itself as the leading EMEA investment bank.

Investment & Protection Services

Insurance, Wealth Management and Asset Management, including AXA IM, consolidated since July 2025.

Capital

CET1 12.9% at September 2026, against a 10.45% requirement; guided above 13% at end-2026.

03 Industry & macro

French government bonds sold off in 2026 on political and budget uncertainty. The 10-year yield reached about 4.9% and the spread over German Bunds about 155 bp. Investors sell French banks when the sovereign weakens, because banks hold government bonds, fund themselves at a spread to the sovereign, and depend on the domestic economy.

For BNP the direct exposure is limited: about €19bn of French government bonds, €16bn of them at amortised cost so price moves do not hit capital. The indirect effect is through funding costs and the risk premium investors demand.

The Middle East conflict pushed Brent to about $115 a barrel. That raises inflation risk and could slow the ECB's path, which helps net interest income but hurts credit quality. BNP's cost of risk was 39 bp in Q3 2026, at the top of its guidance.

FRENCH 10-YEAR YIELD

~4.9%

Political and budget uncertainty pushed French yields up in 2026; French banks trade as a proxy for the sovereign.

OAT-BUND SPREAD

~155 bp

A wider spread raises funding costs and the discount investors apply to French financials.

OIL AND INFLATION

~$115

Brent around $115 a barrel with the Middle East conflict: a risk to credit quality and to rate expectations.

COST OF RISK

39 bp

Q3 2026, at the top of the <40 bp guide. Arval used-car prices are the visible pressure point.

04 What happened

The events that shaped the stock, in order.

1 Jul 2025
AXA IM consolidated

Oct 2025
Manhattan jury finds BNP liable in the Sudan case (~$20.75m to three plaintiffs; class ~23,000)

5 Feb 2026
FY2025 results: RoTE 11.6%; 2028 targets raised

23 Jul 2026
Q2 results: net income €4.3bn (+33%), RoTE 13.3%

31 Jul 2026
Athlon acquisition completed (Arval)

Sep-Oct 2026
Shares fall ~20% to €85.35 as French yields rise

28 Oct 2026
Q3 results: net income €3.5bn (+13.5%); €1.3bn buyback announced

05 Why the screen picked it

At the 31 December 2025 rebalance BNP traded at 0.78x book and 7.7x earnings on FY2024 accounts, against a peer median of 1.2x and 11.6x. Its book-to-price z-score was +2.1 and earnings-to-price +2.0 within Financials. The minimum-variance portfolio gave it only the 0.5% floor; the mean-variance portfolio gave it the 4% cap.

VALUE SCORE, DEC 2025	ACCOUNTS USED	WEIGHT, DEC 2025	H1 2026 RETURN
+2.02	**FY to 2024-12**	**2.0% / 0.5% / 4.0%**	**+26.2%**
rank 5 of 203 in Financials	year-end + 6-month lag	equal · min-var · mean-var	benchmark +10.8%

Z-scores within sector · Dec 2025 rebalance · above 0 = cheaper than the sector average



MULTIPLE, DEC 2025	BNP PARIBAS	PEER MEDIAN	SECTOR MEDIAN
EV/EBIT	—	—	21.68x
P/B	0.78x	1.20x	1.89x
P/FCF	—	—	16.31x
EV/Sales	1.49x	2.87x	2.93x
P/E	7.72x	11.64x	14.25x

Multiples on the accounts the model could use at the time. Peer set: same GICS industry group in the developed universe. Held at: 2025-12.

06 Investment thesis

01 Returns are ahead of target

9M 2026 RoTE of 13.2% and a 59.0% cost/income ratio beat the 2026 targets (~12% and ~60%). In February 2026 the bank raised its 2028 targets to RoTE above 13% and cost/income below 56%.

02 The price is a sovereign discount, not a bank discount

Shares fell about 20% in the three months to late October 2026, to a 28-week low of €85.35, with no company-specific cause found, while French 10-year yields reached ~4.9% and the OAT-Bund spread ~155 bp. French government bonds held total about €19bn, €16bn of them at amortised cost.

03 Capital comes back to shareholders

2026 payout of 60% (at least 50% dividend, 10% buyback), a €1.3bn buyback from November 2026, and from 2027 the distribution of CET1 above 13%. A new 2030 plan is due on 2 February 2027.

07 Variant perception

Where our reading differs from the obvious one.

WHAT THE MARKET SAYS	WHAT THE EVIDENCE SAYS
"BNP is a leveraged bet on France."	Three of its four retail home markets are outside France, CIB is the leading EMEA investment bank, and IPS adds fee income. Earnings are more diversified than the share price implies.
"Trading revenue is at a peak."	Global Markets is strong (+21.9% in Q3), but the RoTE target was beaten even after €408m of restructuring costs.

"The Sudan litigation is an open-ended liability."	It is real and unprovisioned; we treat it as a tail risk that the appeal (2027) will clarify, and keep the position sized accordingly.

08 Financials

LINE	FY2024	FY2025	9M 2026	2026 TARGET
Revenues (NBI)	€48.8bn	€51.2bn	€41.9bn	> 5% CAGR
Cost / income	—	61.2%	59.0%	~60%
Cost of risk	—	36 bp	39 bp (Q3)	< 40 bp
Net income, group share	€11.7bn	€12.2bn	€11.0bn	> 7% CAGR
Return on tangible equity	—	11.6%	13.2%	~12%
CET1 ratio	—	12.6%	12.9%	> 13% (end-2026)
Dividend per share	—	€5.16	€3.23 interim	payout 60%

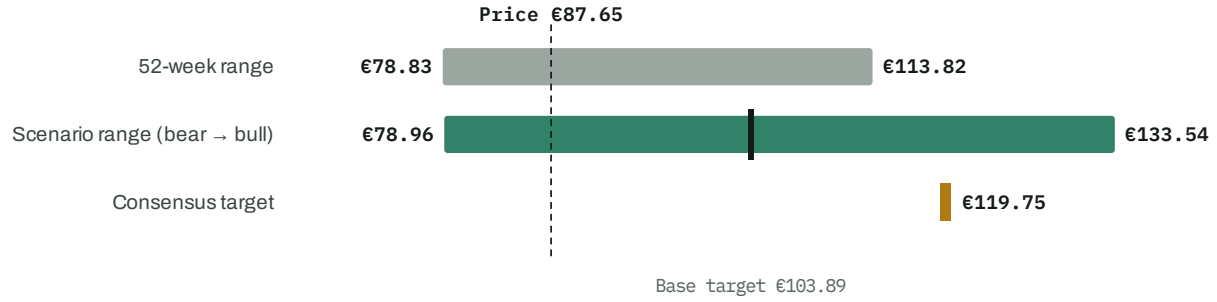
FY2024 figures derived from the 2025 growth rates reported by the bank. RoTE methodology changed in Q4 2025. Sources: BNP Paribas FY2025 and Q3 2026 releases.

09 Valuation

Method: Justified price to tangible book (Gordon growth). A bank is worth (RoTE − g) / (cost of equity − g) times its tangible book. We use the third-party tangible book per share of €98.7 at June 2026 (third-party estimate: the bank's release does not state it), long-term growth of 2%, and a cost of equity that falls as the French risk premium normalises.

SCENARIO	INPUTS	VALUE / SHARE	VS PRICE	WHAT HAS TO HAPPEN
Bear	RoTE 10.0%, CoE 12.0% → 0.80x TBV	€78.96	−10%	RoTE slips to 10%; French spread widens
Base	**RoTE 12.0%, CoE 11.5% → 1.05x TBV**	**€103.89**	**+19%**	**RoTE at the 2026 target; spread stable**
Bull	RoTE 13.5%, CoE 10.5% → 1.35x TBV	€133.54	+52%	2028 targets met; spread normalises

Valuation range · base case marked



Consensus target: €119.75 (+37%). Rating thresholds: Overweight above +15%, Neutral −10% to +15%, Underweight below −10%.

10 Catalysts

Nov 2026
Launch of the €1.3bn share buyback (about 1.4% of market cap)

Q4 2026
Closing of the BMCI sale (+15 bp CET1); CET1 above 13% at year-end

2 Feb 2027
2030 strategic plan with new RoTE and distribution targets

2027
Second Circuit ruling on the Sudan appeal; Allfunds offer (~€400m gain if completed)

May 2027
AGM and final 2026 dividend

11 Risks & sell rules

RISK	MITIGANT
French sovereign and political stress	Diversified earnings; French bonds held mostly at amortised cost (€16bn of €19bn)
Sudan litigation, no provision booked	Appeal pending; position sized below the 4% cap
Normalisation of trading revenue	Targets beaten even after restructuring costs
Cost of risk above 40 bp	Stage 3 ratio 1.6% with 67% coverage

WE CHANGE THE CALL IF

- 2026 RoTE below 12%, or 2028 targets cut in the 2030 plan
- CET1 below 12.5%, forcing smaller buybacks
- An adverse Sudan ruling with a material provision

The bear case, taken seriously

The bear case: France is in a slow sovereign squeeze, BNP's earnings include one-offs (an €858m gain on Ageas, a €372m Allfunds revaluation) and peak trading, and the Sudan verdict could become a class-wide liability. In that world a bank at 0.9x tangible book is fairly priced, not cheap.

12 Interview prep

Questions a portfolio manager is likely to ask, with short answers.

Q Why do you value BNP on price to tangible book and not P/E?

Because a bank's earning power is its equity times its return. Justified P/TBV = (RoTE − g) / (CoE − g) links the two: a 12% RoTE with an 11.5% cost of equity justifies about 1.05x.

Q What drives the discount?

French sovereign risk. The share price fell 20% in a quarter without bad company news, while French yields rose.

Q What would make you wrong?

RoTE falling below 12%, CET1 below 12.5%, or a material Sudan provision.

Q Why did your model give BNP 4% in mean-variance and 0.5% in minimum variance?

Mean-variance rewards the high expected return from the score; minimum variance penalises the bank's high correlation with the rest of the European book.

13 Glossary

RoTE	Return on tangible equity: net income divided by equity excluding goodwill and intangibles.
CET1 ratio	Core equity capital divided by risk-weighted assets; the regulator's main solvency measure.
Cost of risk	Loan-loss provisions as a share of outstanding loans, in basis points.
P/TBV	Price divided by tangible book value per share; the standard bank valuation multiple.

14 Sources

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Company figures from filings and releases listed above. Screen data (multiples, z-scores, weights) from the Bloomberg extract of 26-29 October 2026, aggregated. Peers: Société Générale, Crédit Agricole SA, Deutsche Bank, Santander, ING, UniCredit (pipeline peer set).

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